

complaint

Mrs Y has complained about the decision of Royal & Sun Alliance Insurance Plc (“RSA”) to decline a claim made under a rental property insurance policy for damage caused by an escape of water on the basis that the property was unoccupied.

background

When Mrs Y commenced the insurance policy, her intention was to rent out her property to tenants. Mrs Y lived next door to the insured property, and was arranging refurbishment works. However, the property was not rented out to tenants between the commencement of the insurance policy and the date that water damage occurred some nine months later.

RSA rejected liability for the damage as the policy excludes escape of water damage where the property has been unoccupied for more than 45 consecutive days. In addition, RSA commented that under a policy endorsement, where a property is unoccupied for more than 90 days, cover is restricted to loss or damage caused by fire, lightning, explosion and aircraft only.

Unhappy with RSA’s stance, Mrs Y brought a complaint to this service. Her representative has highlighted that with the insured property being next door to her own residence, Mrs Y inspected it every day. The representative has indicated that it would not be reasonable to consider the insured address to have been ‘unoccupied’. In addition, with regard to the reduction in cover that results from a property being unoccupied for more than 90 days, the representative has stated that this is a significant and unusual restriction in cover that should have been brought to Mrs Y’s attention when the policy was arranged.

Our adjudicator did not uphold Mrs Y’s complaint. He considered the property to have been ‘unoccupied’ under the policy’s definition of the term, and that RSA was entitled to rely on the exclusion it had cited. The adjudicator also stated that a restriction in cover for unoccupied properties was not unusual in home insurance policies.

On Mrs Y’s behalf, her representative disagreed with the adjudicator’s findings.

The representative remains of the opinion that a restriction of cover after a property is unoccupied for 90 days is significant and unusual, and that this was not brought to Mrs Y’s attention. It has also stated that as the property was inspected daily, the status of its occupancy may have been immaterial to the loss suffered. The representative has questioned whether the property would be considered to be unoccupied as defined under the policy, and therefore whether any exclusion to cover for an unoccupied property would be applicable in the circumstances of this claim.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Under the terms of Mrs Y’s policy, damage resulting from an escape of water is not covered when the loss or damage has been caused “*while the **Property is Unoccupied***”.

The definition of 'unoccupied' in the policy booklet is:

*"(a) Insufficiently furnished for normal occupation, or
(b) Furnished for normal occupation but has not been lived in for more than 30 consecutive days".*

However, in the policy schedule, the definition of 'unoccupied' was amended to *"the part or whole of the property not lived in by a person authorised by You for more than 45 consecutive days."* It is this definition of unoccupancy that RSA has therefore applied when considering this claim.

Although Mrs Y's representative has suggested that this definition is not clear, my view on balance is that Mrs Y's frequent visits to the insured property did not represent the property being 'lived in'. As such, I consider that the property would reasonably be considered unoccupied when water damage occurred to it. Under the terms of the policy, cover for such water damage would therefore be excluded.

I note that a 'Summary of Cover' document provided when Mrs Y commenced the policy confirmed under a section entitled *"Significant and unusual exclusions or limitations"* that these included *"certain losses or damage when your home is unoccupied"*. It seems to me on balance that this brought Mrs Y's attention to the exclusion for damage caused by an escape of water where a property is unoccupied.

I do not consider that I need to assess whether the endorsement that imposed restrictions on cover for properties that have been unoccupied for 90 days was brought to Mrs Y's attention. This is because RSA's rejection of the claim was in part based upon its reliance on the exclusion for water damage cover where a property is unoccupied. In my view, RSA was able to rely on this exclusion to decline the claim.

I am sorry to learn about the water damage that was sustained to Mrs Y's property. However, my conclusion is that RSA was entitled to decline the claim made on the basis of the property's unoccupancy.

my final decision

My final decision is that I do not uphold this complaint, and I make no award.

John Swain
ombudsman